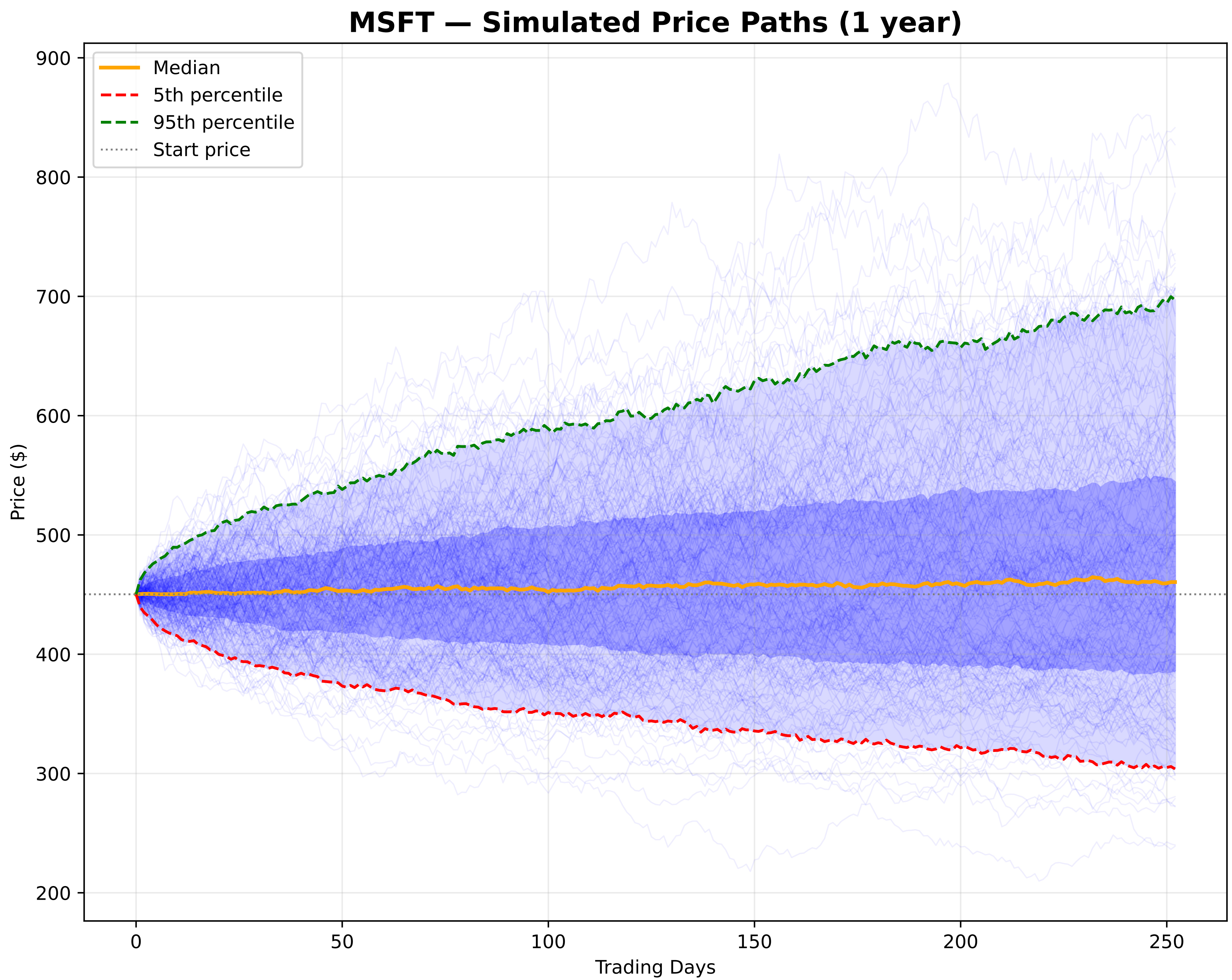
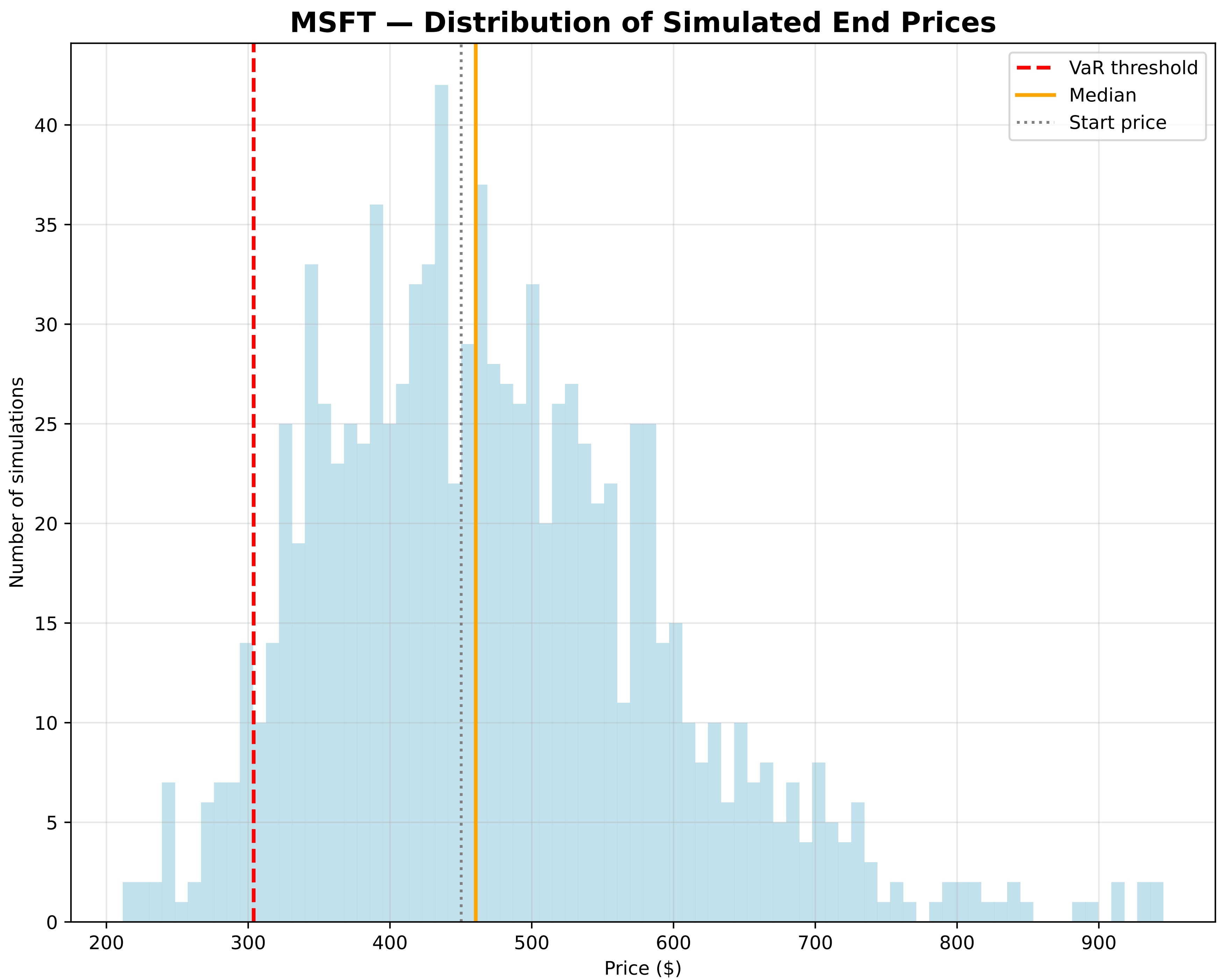
MSFT — Investment Outlook

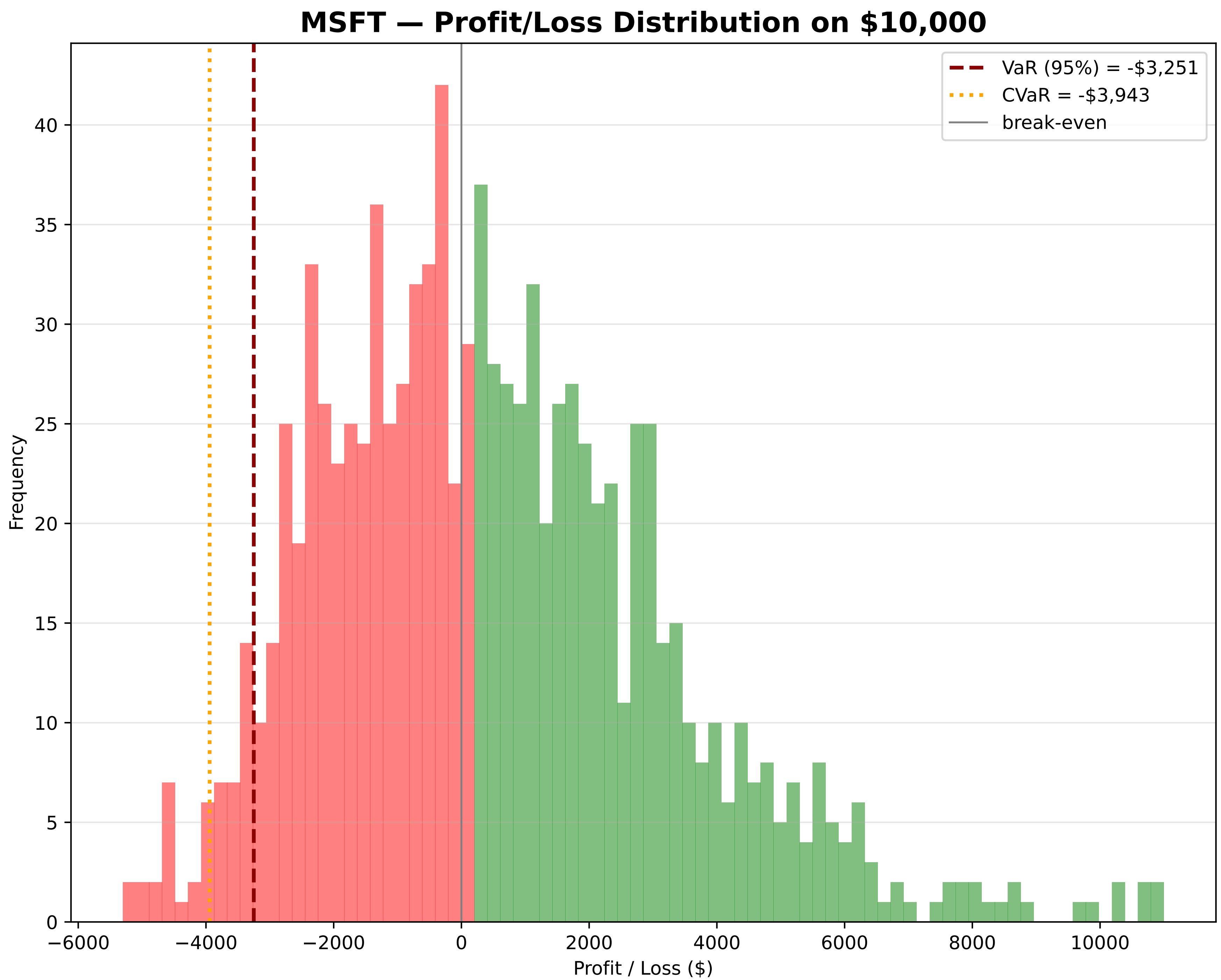
Monte Carlo simulation • May 30, 2026

$10,000 invested over ~1 year (252 trading days)

Metric	Value
Current price	$450.24
Shares purchased	22.2104
Historical annual return	4.9%
Historical volatility (risk)	25.1%
Chance of making money	53.4%
Chance of losing money	46.6%
Median end price	$460.51
Pessimistic (5th pct) price	$303.85
Optimistic (95th pct) price	$696.92
Expected profit/loss	$515.74
Median profit/loss	$228.01
VaR (95%)	-$3,251.36
CVaR (95%)	-$3,942.54
Best case (99th pct)	$8,573.68


MSFT — Simulated Price Paths (1 year)
Median
5th percentile
95th percentile
Start price
Price ($)
Trading Days
900
800
700
600
500
400
300
200
0
50
100
150
200
250


MSFT — Distribution of Simulated End Prices
VaR threshold
Median
Start price
Number of simulations
Price ($)
0
5
10
15
20
25
30
35
40
200
300
400
500
600
700
800
900



MSFT — Profit/Loss Distribution on $10,000
VaR (95%) = -$3,251
CVaR = -$3,943
break-even
Frequency
Profit / Loss ($)
0
5
10
15
20
25
30
35
40
−6000
−4000
−2000
0
2000
4000
6000
8000
10000

Analysis

Subject: Understanding Your Potential MSFT Investment: A Beginner's Guide

Hi there! Let's explore what investing in Microsoft (MSFT) might look like for a beginner
you.

What This Simulation Estimated
This Monte Carlo simulation is like a computer playing out 1,000 "what if" scenarios for
$10,000 MSFT investment over the next year. It uses past trends to estimate a range of po
future outcomes, rather than a single, definite prediction.

Likely Outcomes for Your $10,000 MSFT Investment (~1 Year)
The simulation suggests investing $10,000 in MSFT for a year is nearly a coin flip: a 46.
chance of losing money versus a 53.4% chance of making money.

If you make money, the average profit is $515.74. The median outcome (the middle result i
were lined up from worst to best) is a gain of $228.01.

Looking at potential extremes:
- In pessimistic scenarios (5% of the time, meaning things could be this bad or worse), investment could drop significantly. The VaR (Value at Risk) at 95% means you'd lose *mor than* $3,251.36 only 5% of the time. In those very worst 5% cases, the CVaR (Conditional at Risk) at 95% tells us the *average* loss is $3,942.54.
- In optimistic scenarios (5% of the time), your investment could grow substantially, w profits exceeding $8,500 in the very best cases (1%).

Key Risks
- Significant Chance of Loss: Almost 50/50 chance of losing money (46.6%).
- Potential for Substantial Losses: Average losses in the worst 5% of outcomes approach $4,000.
- Volatility: The stock's volatility (how much its price tends to swing up and down) of 25.09% means bigger, less predictable changes.

Key Upsides
- Slightly Higher Chance of Gain: A 53.4% chance of making money.
- Good Returns: Average expected profit over $500, with strong upside potential (gains exceeding 5,400*inpositivescenarios*,*or*8,500 in best cases).

What This Suggests
This simulation indicates $10,000 in MSFT carries both significant potential gains and substantial risk of losses. It's not a guaranteed profit. Consider your comfort with potentially losing a notable portion of your investment for the chance of higher gains.

Disclaimer: This information is for educational purposes only and not financial advice. P
performance does not guarantee future results.